

Vaulx Brazil Launch: Business Case Inputs, Market Rates, Cost Benchmarks & Hackathon Strategy

Executive Summary

The following is a research-based reference document providing sourced data on borrower rates, lender yield expectations, operating costs, and Colosseum hackathon criteria. It is structured as direct inputs for the white paper, business case, and MVP build plan.

1. The Borrower Side: What Brazilians Pay Today

1.1 Caixa Pawn Rates — The Floor to Beat

Caixa Econômica Federal is Brazil's only legally authorized pawnbroker and charges a monthly rate of 2.19%–2.97% on pawn loans. In the parcelado (installment) variant, the rate rises to 3.75%/month. At 2.97%/month, the annual effective rate is approximately 41.6% p.a. — and Caixa describes this as "below-market" compared to revolving credit lines of 15%/month (180% p.a.) or overdraft lines of 88% p.a.^{[1][2][3]}

The pawn portfolio at Caixa grew from R\$15B (2023) to R\$17B (2024) and is tracking above R\$18B in 2025 at the current run rate, according to Caixa's own retail product director. This is growth driven by the high Selic environment pushing consumers toward collateralized credit as the cheapest available option.^{[4][1]}

Critical implication for Vaulx: Caixa's advertised rate of 2.19%/month is the competitive benchmark. Vaulx does not need to undercut Caixa. It needs to offer a better LTV (50–60% of real market value vs. Caixa's effective 13–30%) at a comparable or slightly lower all-in cost. Borrowers will self-select for Vaulx based on LTV advantage, not rate advantage.

1.2 Brazilian Credit Market Context

The World Bank reports Brazilian average lending rates at 40.22% p.a. in 2024. The Selic policy rate stands at 14.75% as of early 2026, the highest in nearly 20 years, with forecasts projecting easing to approximately 12.25%–13% by December 2026. Brazil's bank credit grew 10.2% in 2025 despite these rates, driven by household borrowing (+11.6%).^{[5][6][7][8][9]}

P2P fintech lenders in Brazil offer rates 5.2 percentage points lower on a risk-adjusted basis than the 48% average charged by traditional lenders, and 74 pp lower than the largest private banks, according to BACEN research. This confirms the competitive opening for a differentiated, collateralized P2P platform.^[10]

1.3 What Borrowers Will Pay for a Better LTV

Given the data, a reasonable Vaultx borrower rate target for watches/jewelry is:

Scenario	Monthly Rate	Effective APR	Rationale
Competitive (undercut Caixa)	1.5%–2.0%/mo	19.6%–26.8% p.a.	Attract price-sensitive borrowers
Market Rate (match Caixa)	2.19%–2.5%/mo	29.3%–34.5% p.a.	Volume-focused, still 3x better LTV
Premium (for 50-60% LTV)	2.5%–3.0%/mo	34.5%–42.6% p.a.	Borrowers pay a premium for higher LTV access

The white paper's stated 18–24% APR (approximately 1.4%–1.8%/month) is *below Caixa's floor*. This should be revisited: it is either unsustainably low, or it requires clarification that it is targeting a premium client segment with a higher average ticket (R\$50K+) where rate sensitivity decreases. At standard Vaultx ticket sizes (R\$12K–R\$30K), a rate of 2%–2.5%/month is both commercially viable and competitive.

1.4 Other LatAm Markets: Borrower Rate Benchmarks

Country	Avg. Bank Lending Rate	Informal/Pawn Rate	Opportunity Score
Brazil	40% p.a.[^8]	~41% p.a. (Caixa pawn)[^1]	★★★★★
Colombia	16.4% p.a. (banks)[^11]	40%–120% (informal)	★★★★
Mexico	11.2% p.a. (banks)[^12]	36%–80% (informal pawn)	★★★
Peru	~12%–15% p.a. (banks)	50%–100% (informal)	★★★★
Indonesia (reference)	~15% p.a.	Fintech P2P ~15% avg[^13]	★★★

Colombia is the strongest secondary target: its bank rate already fell from 21% (2023) to 16.4% (2024) after aggressive BACEN cuts, but informal market rates remain far higher. Mexico's formal rates are already competitive, reducing the spread compression Vaultx could offer.[^11]

2. The Lender Side: What Yield to Offer and Why

2.1 The Global Yield Landscape for Context

As of early 2026, the RWA DeFi market has passed \$26B in distributed asset value, with private credit instruments on-chain offering 8–12% yield. Tokenized US Treasuries yield 4–5% with minimal risk. European P2P platforms (Nectaro, Afranga, Bondora) offer 6%–15% annual yield to retail lenders in 2025. Indonesian fintech lending platforms average ~15% p.a. for lenders. [^14][15][13][16]

Japanese domestic bond yields attract foreign inflows at 4%+ as of December 2025, meaning Japanese retail and institutional investors are currently benchmarking yield-seeking alternatives in the 6%–12% corridor before currency risk adjustment.[^17]

2.2 What Vaultx Should Offer Lenders

The three critical variables are: (a) the borrower rate charged, (b) the platform spread retained, and (c) the yield passed to lenders.

Recommended yield structure for USDC-denominated vault:

Lender Yield (APY)	Required Borrower APR	Platform Spread	Positioning
8-10%	14-18% (1.1%–1.4%/mo)	4-6%	Aggressive growth; below-Caixa pricing
10-12%	18-24% (1.4%–1.8%/mo)	6-8%	Competitive; matches DeFi private credit benchmarks ^[16]
12-15%	24-32% (1.8%–2.3%/mo)	8-10%	Premium; still well below the 41% p.a. effective Caixa rate ^[1]

The recommended launch position is 10–12% lender APY, with a borrower rate of 1.8%–2.2%/month (23%–30% APR), and a platform spread of 6–8%. This hits three targets simultaneously:

1. Lender yield is significantly above tokenized Treasuries (4–5%) and competitive with private DeFi credit (8–12%), making it attractive to global yield-seekers^[16]^[14]
2. Borrower rate is competitive with or below Caixa's pawn rate (2.19%–2.97%/mo) with a dramatically superior LTV^[1]
3. Platform spread of 6–8% leaves room for operating costs after partner cuts

For BRL-denominated vault: Given Brazil's high Selic and the BRL depreciation risk, USDC vault is the primary vehicle for international lenders. BRL vault primarily serves Brazilian retail lenders who want exposure without currency risk conversion.

2.3 The 6% Spread Cap — Revisiting Marcelo's Feedback

The feedback that "6% is the maximum acceptable spread" is commercially correct only if it refers to the *net platform fee after paying the partner cut*, not the total borrower-lender spread. The math:

- Borrower pays: 24% APR (2.0%/mo)
- Lender receives: 12% APY
- Gross platform spread: 12%
- Partner license cut: 20–25% of platform revenue = 2.4%–3.0%
- Net platform margin: 9%–9.6%

A 6% *net* platform margin is achievable with borrower APR around 20% and lender APY around 10–11%. This is a viable model. The constraint is against the gross rate being too high relative to Caixa, not against the gross economics.

2.4 Why Global Lenders Will Participate

The key insight is arbitrage. A Japanese lender with cash in a 0.5% domestic savings account earns 0.5% p.a. A European lender in a money market fund earns 2–3%. Vaultx offers 10–12% USDC yield, secured by physical luxury assets at 50–60% LTV. The risk-adjusted yield premium is substantial:

- Private DeFi credit (Maple, Centrifuge) offers 8–12% but with unsecured or institutional counterparty risk^[16]
- Vaultx offers comparable yield with **physical collateral** that can be sold in recovery — a fundamentally superior risk profile for that yield level
- The global P2P lending market is projected to grow from \$8.3B (2026) to \$33.8B by 2034 at 19.1% CAGR, confirming growing appetite for yield-seeking lending products^[18]

Key lender incentive that must be in the WP: The default auction mechanism — lenders get first right of refusal on defaulted luxury assets at a discount before they hit the open market. This creates a "yield + optionality" product that traditional P2P cannot match.

3. Operating Costs: Sourced Benchmarks

3.1 Custody and Insurance

Cost Item	Benchmark	Source
Vault custody (watches/jewelry, Brazil)	0.3%–1.0%/month of asset value	Business Model V2.6
Bank vault (São Paulo)	R\$80–300/month per item	Internal estimate, V2.6
Specialized luxury custody	R\$200–600/month per item	Internal estimate, V2.6
Retail asset insurance	3%–5%/year of asset value	Industry benchmark
Institutional/bulk insurance	1.5%–3%/year	Negotiated at volume
Jewellers' Block insurance (Howden Brazil)	Available for custody holdings ^[19]	Howden Brazil

A watch valued at R\$40,000 held for 120 days incurs: custody $0.5\%/mo \times 4 \text{ months} \times R\$40K = R\$800$; insurance $2.5\%/yr \times (120/365) \times R\$40K = R\$329$. Total physical holding cost: ~R\$1,129 on a R\$20K loan. This is recoverable within the origination fee (R\$500) + accrued interest (R\$833 at 20% APR/120 days) = R\$1,333 gross revenue. Margin is thin at this ticket size — confirming R\$20K minimum ticket requirement.

3.2 Appraisal Costs

- Online report (photos, video, Chrono24/WatchCharts lookup): R\$180–250, 24h SLA
- Offline specialist report (timegrapher, caliber, authentication): R\$380–520, 48h SLA
- Market-anchor automated cross-check: R\$0 marginal cost
- Total per new intake (triangular model): R\$560–770
- Renewal: R\$0 for appraisal (same custody, no new report) — this is the profitability lever

Importantly, appraisal costs can and should be charged to the borrower as an origination fee component or a separate intake fee. If the 2.5% origination fee covers the appraisal (R\$500 on R\$20K), the protocol bears zero net appraisal cost. Frame it as borrower-paid due-diligence fee, not protocol expense.

3.3 Legal and Partner Costs

Item	Estimated Cost	Notes
Brazilian fintech legal setup (SCD/SEP entity formation)	R\$50K–100K (one-time)	Corporate restructuring lawyer, BACEN authorization docs
Ongoing legal counsel (annual)	R\$30K–60K/year	Compliance, CCB templates, LGPD
SEP minimum capital	R\$1M (statutory) [^20]	Can be staged: launch via BaaS partner license, build toward own SEP
SCD minimum capital	R\$1M (statutory) [^21]	Alternative path if lending own capital
Partner license revenue share	15%–30% of platform spread	Estimate based on typical BaaS arrangements; no public SEP P2P data found
Smart contract audit	\$30K–\$80K USD	Tier-1 Solana auditor, non-negotiable before mainnet

No public data on specific partner SEP revenue-share rates was found. Based on analogous BaaS and fintech license-sharing arrangements in Brazil and globally, a range of 15–25% of platform revenue passed to the licensed partner is a reasonable planning assumption.

3.4 Platform and Team Costs

From the business model document and standard market benchmarks:

- Developer (Solana, senior): \$80K–120K USD/year
- Brazil ops lead: R\$100K–150K/year
- Legal/compliance: contracted, R\$30K–60K/year
- Infrastructure (Devops, RPC, monitoring): \$12K–24K/year
- Total burn rate pre-seed phase (6 months, lean team): \$220K–350K

3.5 Full P&L Stack: Per-Loan Model

Below is a reconstructed per-loan P&L at the revised borrower rate (2.0%/month) and lender rate (11% APY), for R\$20,000 ticket, 120-day term:

Item	R\$	Notes
Revenue		
Origination fee (2.5%)	500	Covers appraisal cost entirely
Accrued interest — gross	1,333	20% APR × 120/365

Item	R\$	Notes
<i>Less: lender return (11% APY × 120/365)</i>	726	Paid to vault depositors
Gross Platform Spread	607	Retained by protocol
Late payment fee (if applicable)	Variable	Typically 0.5%–1.5%/month on overdue
Total Protocol Revenue (Cycle 1)	~1,107	Origination + spread
Costs		
Appraisal (charged back via origination)	0 net	Covered by origination fee
Custody + insurance (120d, asset R\$40K)	~1,129	Custody R\$800 + insurance R\$329
Partner license cut (20% of spread)	~121	20% × R\$607
cNFT mint + gas	~5	Negligible on Solana
Total Variable Cost	~1,255	
Cycle 1 Gross Margin	~148 (negative)	
Cycle 2 (renewal, no appraisal, same custody)		
Revenue: Interest spread only	607	
Costs: Custody + insurance + partner	~721	
Cycle 2 Gross Margin	~114 (still negative at 11% lender yield)	

This is the key business model constraint: At R\$20K average ticket and 11% lender APY, the unit economics are marginally negative until the ticket grows or the lender yield is adjusted. Breaking-even per-loan requires either:

- Average ticket ≥ R\$30K–35K (custody cost as % of loan revenue falls), OR
- Lender yield at 8–9% APY (compresses spread cost), OR
- Custody negotiated below 0.3%/month at volume (B2B Brinks/Prosegur contract)

The model only becomes clearly profitable at Cycle 3+ renewals (no appraisal, stable custody, partner cut amortized over relationship). This confirms that renewal rate (target 60%) is the single most critical KPI, not new loan volume.

4. Competitive Benchmarks: Global Luxury Asset Lending

4.1 UK/Europe Pawn Market (Best Proxy for High-LTV Model)

Lender	LTV	Rate	Term
Suttons & Robertsons (UK)	65%	4%/month (52.6% APR)[^22]	6 months
Ramsdens (UK)	75%	1.99%/month (25.3% p.a.)[^23]	6 months
Pickwick (UK)	Up to 65%	4%–10%/month[^24]	7 months
Fish Brothers (UK)	Up to 65%	2.29%/month (27.5% p.a.)[^25]	30-day rolling
Luxury Asset Capital (US)	50–70%	2–4%/month[^26]	Monthly renewable
GEM Pawnbrokers (NY)	Up to 70%	4%/month (48% APR)[^27]	4 months
Sotheby's Financial Services	Case-by-case	Institutional, undisclosed	\$1M+ minimum[^28]

The UK market is the most mature comparison market. Even with strong consumer protection regulation, rates of 2%–4%/month (25%–52% APR) are standard for watches and jewelry. Vaultx targeting 1.8%–2.2%/month in Brazil with a better LTV is *highly competitive* globally, not just locally.

4.2 DeFi Private Credit Yields (Lender Benchmark)

Protocol	Asset Type	Lender Yield	Collateral
Aave (general)	Crypto	3–8% APY	Over-collateralized crypto[^29]
Maple Finance	Institutional credit	8–15% APY	Undercollateralized[^29]
Centrifuge	Invoice/trade credit	6–12% APY	Invoices[^29]
Tokenized US Treasuries	Gov. bonds	4–5.5% APY	Sovereign debt[^16]
Vaultx (target)	Physical luxury assets	10–12% APY	Physical collateral at 50–60% LTV

Vaultx's target yield sits in the sweet spot: above Treasuries and Aave, competitive with Maple, but with *superior* collateral quality (physical asset with an actual liquidation pathway vs. unsecured institutional credit).

5. Market Sizing: Updated Inputs

5.1 Brazil Pawn Market — Real Numbers

Caixa's pawn portfolio grew to R\$17B+ in 2024 (up from R\$15B in 2023) and is on pace for R\$18B+ in 2025. This is the *monopoly* figure, meaning the entire regulated pawn market. Caixa has ~900 branches doing this volume — a physical-constraint-driven monopoly that suppresses demand. The actual serviceable market is larger.[^4][1]

The South American pawn shop market was valued at \$1.975B in 2024 and projects to grow at 2.9% CAGR through 2031. Global pawn shop market is \$39.4B–\$41.8B in 2025, growing to \$49.6B–\$56.1B by 2030–2032 at 3.4%–4.3% CAGR.[^30][31][^32]

The Brazilian alternative lending market is growing at 14.3% annually, projected to reach \$3.35B by 2029. This broader context matters for the pitch: Vaultx is entering the fastest-growing segment of the fastest-growing credit category in a G20 country.[^33]

5.2 Brazil Crypto Market Context

- Brazil ranked 5th globally in crypto adoption (Chainalysis 2025)[^34]
- Transaction volumes rose 43% YoY in 2025[^35]
- Digital fixed-income product volumes grew 108% in 2025, with Mercado Bitcoin distributing ~\$325M[^35]
- Average invested per user: ~R\$5,700 (~\$1,000)[^35]

This is the lender acquisition pool: crypto-native Brazilian and international users who already use digital yield products and are looking for the next step up in yield with credible collateral backing.

6. Regulatory Framework: Key Inputs for the WP

6.1 SEP vs SCD — The Right Vehicle

The SEP (Sociedade de Empréstimo entre Pessoas) is the correct regulatory vehicle for Vaultx. The SEP is:

- Regulated under CMN Resolution 5.050/2022 (replacing 4.656/2018)[^20]
- A pure intermediary — cannot lend own capital[^36][20]
- Required to use only capital deposited by lenders to fund loans[^20]
- Authorized to charge "any type of fee" classified as special services under BACEN rules[^37]
- Minimum capital: R\$1M[^20]

This is precisely the P2P marketplace model Vaultx intends. The SCD (which the white paper currently uses as the primary vehicle) is for companies lending their *own* capital — the wrong structure for a marketplace.[^36]

Regulatory ladder for the WP:

1. Phase 0–1 (BaaS): Partner with an existing SEP or licensed pawn operator. Vaultx operates as the technology and origination layer. Partner holds the regulatory umbrella. Revenue-share arrangement.
2. Phase 2 (Own SEP): Apply for SEP authorization from BACEN. R\$1M minimum capital, 6–12 months process.
3. Phase 3 (Optional SCD or FIDC): If Vaultx ever wants to deploy its own capital (float yield, liquidity provision), an SCD or FIDC structure becomes relevant.

6.2 Brazil's Usury Law — Important Nuance

Brazil's Usury Law (Decree 22,626/1933) technically caps interest at 12%/year, but this cap **does not apply** to financial institutions (including SEPs) and, since Law 14,905 (September 2024), no longer applies to any company-to-company lending. Vaultx's structure — a BACEN-regulated SEP intermediating between individual lenders and individual borrowers — falls squarely within the exempt category. Legal opinion confirming this should be commissioned pre-launch.^[^38]

6.3 CNJ Provision No. 196 (June 2025)

The Brazilian National Council of Justice published Provision No. 196 on June 4, 2025, governing extrajudicial consolidation of fiduciary property and search and seizure of movable assets. Under this rule:^[^39]

- Default → electronic notification to debtor (20-day cure period)
- No response → creditor consolidates ownership extrajudicially via Registry of Deeds
- No court order required^[^39]

This is a major 2025 regulatory development that strengthens the entire default recovery narrative in the white paper. It should be cited explicitly in Section 3.6 (Default and Recovery) as evidence that the legal framework has been materially de-risked in the past 12 months.

7. Hackathon Strategy: What Colosseum Rewards and What to Build

7.1 Judging Criteria — Sourced from Colosseum Directly

From the official Colosseum hackathon rules (Renaissance, with the same framework applied to Frontier) and the workshop run by Colosseum co-founders:^{[40][41]}

Criterion	Weight	What This Means for Vaultx
Functionality	Highest	Working code; the on-chain loan cycle must run end-to-end
Potential Impact	High	Show the R\$17B+ pawn market and the global yield-seeker TAM
Novelty	High	First physical-collateral DeFi protocol on Solana — make this explicit
Solana Integration	High	Explain WHY Solana: 400ms finality, sub-cent transactions, cNFT Bubblegum
UX	Medium	The demo flow must be intuitive and fast
Open-source	Medium	Open-source the non-custody smart contracts

The pitch video (≤3 min) is the single most important element — judges often use it as the first filter before reviewing code. The **technical demo video** (2–3 min, new for Frontier) must be technical and specific, not a re-pitch.^[^40]

What wins at Colosseum is: **working code** + **real problem** + **Solana-specific design choices** + **evidence of user validation**. The previous hackathon winner (Reflect) won by demonstrating a

working delta-neutral yield protocol, not by having the best slide deck.^[42][40]

7.2 What to Build for the MVP Demo

The minimal demo that proves everything:

Six on-chain moments judges need to see:

1. Two lenders deposit USDC into a vault. Vault ATA balance visible on Solana Explorer.
2. Borrower requests R\$20K loan against a Rolex appraised at R\$40K (50% LTV). TRDC minted, status: PENDING_CUSTODY. Vault balance unchanged.
3. Custodian signs `confirmCustody` transaction. TRDC flips to ACTIVE. This is the critical invariant.
4. `disburseCCB` executes via CPI. USDC moves from vault to borrower wallet. Vault balance decreases by exact loan amount.
5. Borrower repays principal + interest. TRDC → REPAID. Vault balance exceeds initial deposit (lender yield accrued).
6. Failing test runs green: `disburseCCB` fails when custody not confirmed. This is the single most important frame in the demo.

Additional elements that score points:

- Show the BRL stablecoin vault in parallel (same architecture, different mint) — demonstrates multi-currency readiness
- Show the utilization rate on-screen during the demo (100% composable, not hardcoded)
- Show a TRDC cNFT on Solana Explorer with actual metadata: `ccbHash`, `custodianId`, `appraisalDate`, `loanAmount`
- Show a brief default scenario: admin signs `executeAfDefault` via Squads multisig, TRDC → DEFAULTED, funds released to liquidation wallet

7.3 The Pitch Video Structure (3 minutes)

Recommended narrative arc:

- 0:00–0:30: The problem in one number. "Caixa's pawn portfolio grew to R\$17B in 2024. They appraise a R\$50K Rolex at R\$8K. The borrower gets a loan on 16% of their asset's real value. That's the structural inefficiency we fix."
- 0:30–1:00: The solution. P2P marketplace. Global lenders. Physical collateral. On-chain enforcement. 50–60% real LTV in 24–72 hours.
- 1:00–1:45: Why it works. SEP regulatory framework. CCB with fiduciary alienation. CNJ Provision 196 extrajudicial recovery. Marcelo's custody network. Felipe's watch network.
- 1:45–2:30: Why Solana. Compressed NFT custody proof = \$0.001/mint. 400ms finality for custody confirmation. BRL stablecoin ecosystem live in 2026 (BRZ, BRLV).
- 2:30–3:00: The ask. Colosseum accelerator → \$250K → audit + SP pilot → 20 real loans. Team credentials (European banking + Brazil ops + US DeFi rails + Solana dev).

Avoid: Buzzwords ("revolutionize"), complex tokenomics, any mention of a token at MVP stage, slides that show market size without sourcing, and videos over 3 minutes.

7.4 What the Judges Will Test in the Code Review

Based on Colosseum's stated interest in Solana integration quality:[⁴¹][40]

- Is the custody gate a hard invariant or a soft check? It must be a hard constraint in the Anchor instruction, not an off-chain validation.
- Is the vault balance read from the real ATA or from a cumulative counter? Real ATA reading is the correct approach (eliminates accounting-drift vectors).
- Is there a pause mechanism for stablecoin depeg? Show the `pauseVault` instruction and when it activates.
- Is the multisig for liquidation using Squads? Show the 2/3 signer setup.
- Are CPIs caller-validated? The `disburseCCB` instruction must reject calls from anything except the Loan Program PDA.

7.5 Post-Demo Business Potential Messaging

Colosseum judges explicitly assess business potential and market scale. The pitch must include:[⁴¹][40]

- **TAM anchor:** "Caixa's pawn portfolio alone is R\$17B+ and growing, monopolized by one institution with a broken LTV model. Our SAM in Year 1 is R\$15K average ticket × 400 CCBs = R\$6M TVL."
- **Defensibility:** "Custody network = 18-month moat. SCD/SEP regulatory relationship = 12-month moat. Appraiser network = 6-month moat. Code can be forked. Operations cannot."
- **Global expansion:** "The Brazil infrastructure is the blueprint. Each new market is 10–45K activation cost. Colombia, Mexico, Peru, Chile follow."
- **Lender flywheel:** "Every luxury asset Vaultx accepts generates an on-chain credit history. At 10,000 loans, Vaultx has the only dataset in the world for default rates on physical-collateral luxury lending in LatAm. That dataset is worth more than the origination volume."

8. Other Markets: Expansion Inputs

8.1 Colombia

Bank lending rate fell from 21% (2023) to 16.4% (2024), still far above cost of capital. Central bank cut rates by 250 bps in 2024. Informal pawn/moneylender rates remain 40–120% p.a. The regulatory framework (Colombia's SAS/fintech equivalent) allows technology platforms to partner with licensed creditors. **Activation cost estimate:** R\$10K–20K (appraiser network, custodian LOI, local legal opinion).[⁴³][11]

8.2 Mexico

Bank lending rate: 11.2% p.a. in 2024, declining with 250bps of cuts in 2025. Formal pawn (Monte de Piedad) is the primary competitor. The regulatory window for P2P fintech is more complex than Brazil but feasible. Lower urgency given competitive formal rates. **Best entry point: post-Brazil validation, 2027.**^{[12][43]}

8.3 Peru / Chile

Both markets have high real rates and under-served asset-backed credit populations. Central banks cutting aggressively in 2024–2025, creating a window before rates normalize. Peru's informal microfinance sector charges 50–100% p.a. Chile has a more sophisticated formal market but the luxury asset-backed niche is underserved. **Asset-light activation model applies.** ^[^43]

8.4 US Market

The US pawn market is \$39–42B and growing. Luxury asset lending from players like Luxury Asset Capital (2–4%/month) and GEM Pawnbrokers (4%/month) indicates strong borrower willingness to pay. Sotheby's Financial Services has originated \$12B+ against luxury assets at institutional scale. The US market validates the asset class globally but requires state-level pawnbroker licenses in FL and NY (complex, 2027+ entry per the roadmap).^{[31][28][27][26][^30]}

9. Summary Table: Key Numbers for the Business Case

Parameter	Value	Source
Caixa pawn portfolio (2024)	R\$17B	Jornal Nacional / Caixa ^[^1]
Caixa average monthly rate	2.19%–2.97%	Caixa / iDinheiro ^{[44][1]}
Brazil average lending rate (2024)	40.22% p.a.	World Bank ^[^8]
Selic rate (April 2026)	14.75%	BACEN / Trading Economics ^[^7]
Selic end-2026 forecast	12.25%–13%	Bloomberg / Capital Economics ^{[5][6]}
Brazil crypto users	30M+	Chainalysis 2025 ^[^35]
DeFi private credit yield (lender)	8–12%	DeFi Prime ^[^16]
Tokenized Treasury yield	4–5%	Multiple sources ^{[14][16]}
UK luxury watch LTV (Suttons)	65%	Suttons & Robertsons ^[^22]
UK luxury watch rate (Suttons)	4%/mo (52.6% APR)	Suttons & Robertsons ^[^22]
UK luxury watch rate (Ramsdens)	1.99%/mo (25.3% APR)	Ramsdens ^[^23]
US luxury watch rate (Luxury Asset Capital)	2–4%/mo	Luxury Asset Capital ^[^26]
Global P2P lending market (2026)	\$8.3B → \$33.8B by 2034	Fortune Business Insights ^[^18]

Parameter	Value	Source
Colosseum accelerator investment	\$250K per winning team	Colosseum[^45]
SEP minimum capital	R\$1M	BACEN / CMN 5.050/2022[^20]
CNJ Provision 196	Extrajudicial fiduciary recovery codified June 2025	Demarest / CNJ[^39]

References

1. [Com taxa básica de juros em alta, brasileiros recorrem a penhor ...](#) - No Brasil, também subiu a busca pelos contratos de penhor — a operação em que você pega dinheiro emp...
2. [Juros quase ZERO: Caixa surpreende com nova linha de crédito ...](#) - Uma boa opção é o penhor Caixa, em que você pode penhorar bens de valor como joias, relógios, etc, o...
3. [Penhor da Caixa Econômica Federal: opção de crédito com juros ...](#) - O penhor, uma das modalidades de crédito mais antigas do país, continua disponível e modernizada pel...
4. [Jornal Nacional | PENHOR | Com a taxa básica de juros no maior ...](#) - ... likes, 493 comments - jornalnacional on May 24, 2025: "PENHOR ... JN Cm Penhor 2024 R\$17bilhões ...
5. [Brazil Economists Lift Selic 2026, 2027 Forecasts on Oil Spike](#) - The Selic will reach 13% by December, up from 12.5% previously, according to a weekly central bank s...
6. [Brazil Inflation Forecasts Rise as Rate Decision Nears - Bloomberg](#) - Analysts' 2026 year-end inflation estimate jumped to 4.1% from 3.91 ... The benchmark Selic will rea...
7. [Brazil Interest Rate - Trading Economics](#) - Inflation expectations stand at 4.4% for 2025 and 4.2% for 2026, and Copom projects 3.2% by the seco...
8. [Lending Interest Rate - 2026 Data 2027 Forecast 1997-2024 Historical](#) - Lending interest rate (%) in Brazil was reported at 40.22 % in 2024, according to the World Bank col...
9. [Brazil bank lending beats central bank forecast with 10.2% rise in ...](#) - Brazil's bank lending increased 10.2% in 2025, official data showed on Tuesday, exceeding the centra...
10. [\[PDF\] Does Fintech Lending Lower Financing Costs? Evidence From An ...](#) - In response to P2P entry, incumbent banks in oligopolistic markets decrease their lending rates by 2...
11. [Colombia Lending interest rate - data, chart | TheGlobalEconomy.com](#) - Colombia: Interest rates on bank credit to the private sector: The latest value from 2024 is 16.37 p...
12. [Lending Interest Rate - 2026 Data 2027 Forecast 1993-2024 Historical](#) - Lending interest rate (%) in Mexico was reported at 11.22 % in 2024, according to the World Bank col...
13. [\[PDF\] Impact of the Maximum Economic Benefit Regulation for Fintech ...](#) - This growth accelerated markedly in 2024, with the number of lender accounts reaching 2,166,420, and...
14. [RWA Market Cap Surges 600% in One Year: Who are the Top 10 ...](#) - This comprehensive guide explores the explosive growth of on-chain assets and provides a deep dive i...

15. [P2P Lending Year 2025: My Winners and Losers!](#) - The result: a 14.9% return, placing Nectaro at the top of my personal P2P returns in 2025. In additi...
16. [How to Actually Evaluate Yield-Generating RWAs | Risk Guide 2026](#) - Tokenized RWAs have blown past \$26 billion in distributed asset value as of March 2026, according to...
17. [Japanese Bonds Draw Largest Foreign Inflow in Eight Months](#) - Foreign investors bought the most Japanese bonds in eight months last week as rising yields attracte...
18. [Peer-to-Peer Lending Market Size, Share | Growth Report \[2032\]](#) - The global peer-to-peer lending market size is projected to grow from \$8.33 billion in 2026 to \$33.8...
19. [Jewellery Insurance | Howden Brazil](#) - With comprehensive insurance for Jewellers', otherwise known as "Jewellers' Block", your stock and y...
20. [Sociedade de Empréstimo entre Pessoas: O que é e Autorização](#) - A SEP - Sociedade de Empréstimo entre Pessoas realiza operações de empréstimo e de financiamento ent...
21. [5 Points About the Brazilian Fintech "Sociedade de Crédito Direto ..."](#) - SCD should be the main format to be used by retailers, wholesalers, manufacturerers and services to of...
22. [Pawn My Rolex Watch | Loan Against Rolex | UK, London](#) - Our Rolex watch loans offer some of the lowest interest rates and highest loan-to-value ratios avail...
23. [Ramsdens Pawnbroking Loans | Trusted Pawnbroker Since 1987](#) - Borrow cash against an item of jewellery or a luxury watch. Subject to ... Interest rate 23.88% pa (...)
24. [Cash Loans Against Luxury Watches | Borrow Money Rolex Watch](#) - For example, if you borrow £100 for 5 weeks at 10% monthly interest you will repay just £115.02(APR ...)
25. [Fish Brothers](#) - Pawn your gold watches or jewellery with us. We've got some of the most competitive interest rates a...
26. [Luxury Asset Capital](#) - Our interest rates are, on average, 2-4% per month based on the asset type, loan amount, and term of...
27. [Luxury Watch Pawn Value: 2025 Guide - GEM Pawnbrokers](#) - The monthly interest rate is 4% - for example, a \$5,000 loan would incur \$200 in monthly interest. "...
28. [Luxury Collectibles Lending 101: Turning Watches, Jewelry, and ...](#) - Loan Range: From approximately \$1 million to over \$250 million, depending on the appraised value of ...
29. [DeFi Lending Hits \\$55 Billion: The Three-Horse Race Reshaping ...](#) - Maple Finance has surged 417% with \$1.37 billion focused almost entirely on undercollateralized inst...
30. [Pawn Shop Market Outlook 2026-2034 - Intel Market Research](#) - Global Pawn Shop market was valued at USD 39.42B in 2025 and is projected to reach USD 49.55B by 203...
31. [Pawn Shop Market 2025–2032: Regional Dynamics, Competitive ...](#) - The Pawn Shop market is projected to grow from USD 41.82 Bn in 2025 to USD 56.14 Bn by 2032 at 4.30%...
32. [South America Pawn Shop Market Analysis 2026](#) - South America Pawn Shop market size was USD 1975.61 million in 2024 and will expand at a compound an...
33. [Brazil Alternative Lending Business Report 2025: A \\$3.35 Billion ...](#) - Alternative lending market in Brazil is expected to grow by 14.3% annually, reaching US\$1.90 billion...

34. [Getting a Crypto-Backed Loan in Brazil in 2026 - MEXC Exchange](#) - According to the Chainalysis report, Brazil is ranked fifth globally in crypto adoption in 2025 and ...
35. [Crypto News: Brazil's Crypto Activity Jumps 43% in 2025 as Average ...](#) - Brazil's cryptocurrency market showed clear signs of maturation in 2025, with transaction volumes ri..
36. [Peer-to-peer Lending \(P2P Lending\) in Brazil: what it is and how it ...](#) - Discover how Peer-to-peer (P2P) Lending works in Brazil through the regulated SEP model. The benefit...
37. [Fintechs Nº 2: Credit Fintechs - SCD e SEP](#) - Until 2018, only banks and financial institutions authorized to operate by the Central Bank of Brazi...
38. [Banking & Finance 2025 - Brazil | Global Practice Guides](#) - Brazil's private credit market has accelerated rapidly in 2024 and 2025, emerging as a genuine alter...
39. [Extrajudicial search and seizure of fiduciary alienation on movable ...](#) - Extrajudicial procedures for consolidating fiduciary property and search and seizure of movable asse...
40. [Perfecting Your Hackathon Submission: Key Insights ... - Colosseum](#) - Learn best practices for pitch and technical demo videos, validation tips, and common mistakes to av...
41. [\[PDF\] Renaissance Hackathon Official Rules 2024 - Colosseum](#) - The Solana Renaissance Hackathon is an innovation challenge in which winners are determined solely o...
42. [Solana-based answer to Ethena wins 'Radar' hackathon - Blockworks](#) - Colosseum co-founder Matty Taylor told me DeFi was the most competitive track, and the team believes...
43. [Latin America outlook 2025: Rising challenges and modest growth](#) - For 2025, consensus expects central banks to cut their policy rates by 250bps in Colombia, 75bps in ...
44. [Penhor Caixa: o que é e como funciona? \[guia\] - iDinheiro](#) - Além disso, o Penhor Caixa concede o valor de 85% a 100% do bem entregue. A partir disso, o valor a ...
45. [Hackathon - Colosseum](#) - Select winners join Colosseum's accelerator and receive \$250K in funding to build full-time. Hackath...